Week 2: Setting up Claude Code

AI Development Course

Install and first screens tested with Claude Code 2.1.296 on Ubuntu Linux (in a container), 10 October 2026. Steps 3e-6 tested in Ubuntu on WSL 2 (Windows) with Claude Code 2.1.312, 29 October 2026. The Mac steps and the Windows steps that turn on WSL (3a-3d) are being tested on real laptops.

Today

- What Claude Code is, and what it costs
- Installing it: Mac, and Windows with WSL
- Live demo: install, first session, a permission prompt
- Permission modes: how much it asks you
- CLAUDE.md: standing instructions
- Staying safe
- The assignment, and next week

What Claude Code is

claude.ai chat: talks to you in a web page.

Claude Code: works with **files in a folder on your computer**.

- You ask in plain English: "Create a file with three tips"
- It reads, creates and changes files in that folder
- It can stop and ask first: **"May I do this?"** You decide.

What it costs

- Claude Code needs a paid plan. **The free plan has no Claude Code.**
- **Claude Pro**, about $20/month, includes Claude Code
- Usage limits depend on your plan: https://claude.com/pricing
- Check what you've used: type `/usage` in Claude Code

The terminal in 2 minutes

A window where you **type** commands and press **Enter**.

You type	It means
`~`	your home folder
`cd ~`	go into a folder (here, home)
`mkdir my-first-project`	make a new folder

Paste: `Cmd + V` on a Mac; `Ctrl + Shift + V` or right-click in Ubuntu.

Two install paths

Mac	Windows
Open **Terminal** (`Cmd + Space`, "Terminal")	**PowerShell** as administrator: `wsl --install`
	Restart, create Ubuntu username + password
In Terminal: the install line	In the **Ubuntu** window: the same install line

After that, every step is the same.

Needs macOS 15 (Sequoia)+, or Windows 10 version 2004 (build 19041)+ or Windows 11, and 4 GB RAM.

Where you type matters

Window	How you can tell	Used for
Terminal (Mac)	opened from Spotlight	everything
PowerShell	line starts with `PS C:\`	only `wsl --install` and WSL fixes
Ubuntu	not `PS`; line ends with `$`	everything else on Windows

The install line belongs in **Ubuntu**, not PowerShell.

Live demo: install

In Terminal (Mac) or the Ubuntu window (Windows):

```
curl -fsSL https://claude.ai/install.sh | bash
```

Look for: `✓ Claude Code successfully installed!`

Open a **new** terminal, then:

```
claude --version
```

```
2.1.296 (Claude Code)
```

Your number will be higher. "command not found"? See the PATH fix in the README.

Windows tips

- Typing a password shows **nothing**. That's normal.
- See your Ubuntu files in File Explorer:

```
explorer.exe .
```

- `Exec format error`? You're on WSL 1. In PowerShell:

```
wsl -l -v
wsl --set-version Ubuntu 2
```

Use the name you saw in `wsl -l -v` instead of Ubuntu if it differs.

Live demo: first session

```
cd ~
mkdir my-first-project && cd my-first-project && claude
```

1. Pick a theme (any), press Enter
2. "Select login method": **1. Claude account with subscription**
3. Sign in in the browser
4. `Login successful`, press Enter
5. Trust question: **No, exit** is highlighted. Press the down arrow to **Yes, I trust this folder**, then Enter

Signing in on WSL

The browser didn't open?

- Press `c` to copy the sign-in link, paste it into your browser

The browser shows a code?

- Paste it at `Paste code here if prompted >`, press Enter

You only sign in once per laptop.

Read the bottom line

The bottom of the screen shows the **permission mode**.

Recent versions often start in **auto**: fewer questions.

For today: press **`Shift + Tab`** until it says `manual mode on`.

```
auto -> manual -> accept edits -> plan -> auto
```

Live demo: a permission prompt

```
Create a file called hello.md with three tips for
staying organised, then explain what you did
```

Choice	Means
Yes	do this once, ask next time
Yes, and switch to accept edits ... / don't ask again ...	stop asking about this kind of action
No	don't; tell it what to do instead

When to say No

- You don't understand what it wants to do
- It wants to delete or change files you didn't mention
- It wants to work outside your project folder
- Anything with passwords, keys or money

You can always say No, then ask **"What would that do?"**

Permission modes

Bottom line	Without asking, it...
`manual mode on`	only reads. Asks before every change and most commands.
`accept edits on`	reads and edits files, and creates, moves or deletes files in this folder. Asks for the rest.
`plan mode on`	only reads and plans, changes nothing
`auto mode on`	does most things, with safety checks

While learning: **manual**. You see every change first.

CLAUDE.md: standing instructions

Each session starts fresh. CLAUDE.md is a note it reads **every time**.

1. Type `/init` to create one
2. Add three preferences:
    - Explain things in plain English
    - Ask before deleting files
    - Keep answers short
3. `/exit`, start `claude` again, see the difference

Safety

- **Never paste** passwords, API keys or other people's private data
- **Read every prompt** before saying yes
- Work in a **project folder**, not your whole laptop
- `Esc` stops it. `/exit` leaves.

Assignment

One document with:

- Screenshot: `claude --version`
- Screenshot: a permission prompt in your first session
- Your CLAUDE.md with three preferences
- One paragraph: which prompt, what you chose, and why

Criterion	Points
Installed and running, both screenshots	4
CLAUDE.md with three meaningful preferences	3
Permission paragraph shows understanding	3

Next week: Git and GitHub

Claude Code changes real files.

Next week you learn to **save versions** of your work, so you can always undo a change.